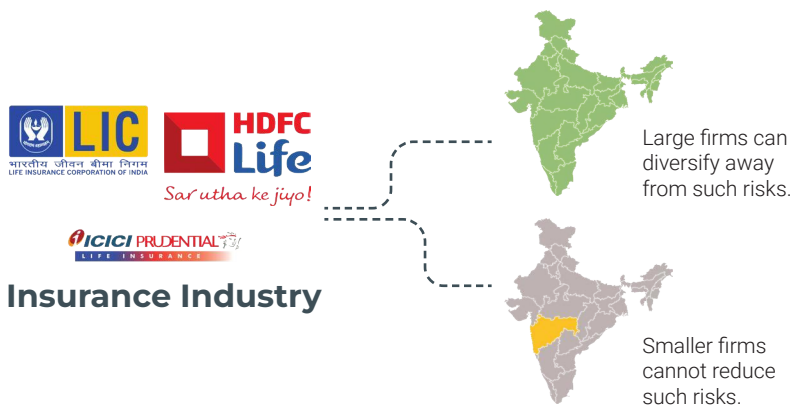




A firm's ability or disability to carry out the ideal strategy for each of the industry risks affects its competitive position.

- A firm may actively choose to deviate from the ideal strategy for competitive reasons.
- Firms might decide to insure risks that others accept or completely reject risks that others insure.
- Some firms may find themselves in a position to reduce or avoid risks that others cannot and thus be placed at a position of advantage compared to others.

The Fourth Step - Risk Evaluation.

The last phase of the risk management process is 'risk evaluation'. This phase focuses on whether the risk management process is effective or not. It ensures that each step is carried out properly—the major risks are identified and assessed and then the correct strategies are implemented. The challenges to the entire process are identified along with feedback. This phase is more applicable for entrepreneurs rather than analysts.

